

Alaska

GENERAL INFORMATION

1. Alaska **maintains** a list of eligible surplus lines insurers (see Other Comments section #1).
2. Alaska **does not** have a Surplus Lines Association or Stamping Office.
3. Alaska **does** have an Export List called Placement List (see Other Comments sections #16 and #18).
4. Alaska **does not** have an industrial insurance exemption but has a statutory exempt commercial purchaser exemption and also recognizes the federal ECP definition under NRRRA (see Appendix C).
5. **Surplus lines tax:** 2.7% for lines other than wet marine and transportation (+ 1% filing fee), .75% (wet marine and transportation), payable by broker.
6. Alaska **does not** allow the formation of domestic surplus lines insurers in the state.
7. Alaska **does not** allow courtesy filings.

ELIGIBILITY AND FILING REQUIREMENTS (FOR ALIEN INSURERS NOT ON THE QUARTERLY LISTING OF ALIEN INSURERS MAINTAINED BY THE INTERNATIONAL INSURERS DEPARTMENT OF THE NAIC)

1. **Annual Report:** certified and in U.S. dollars. Due annually 9 months after reporting period for non-IID listed alien insurers.
2. **Application** (Form 08-1241b).
3. **List of Officers and Directors.**
4. **Biographical Affidavits of Officers and Directors.**
5. **Certificate of Authority** from Domiciliary Regulator (country).
6. **Fees:** \$1000 (application), \$500 (renewal), and \$100 (for filing certified annual statement) (only required for alien insurers not on the NAIC Quarterly List).
7. **Capital and Surplus:** \$15,000,000.
8. **Power of Attorney:** Appointment of director to receive service of process (Form 08-253).
9. **Plan of Operation.**
10. **Designation of Person** to accept service of process (Form 08-254).
11. **Articles of Incorporation and By-laws.** (certified copies).

12. **Underwriting Policy.**
13. **List of Control of Insurer.**
14. **Trust Fund:** \$2,500,000.
15. **Valuation of Assets from Trustee.**

There are no eligibility and filing requirements for insurers listed on the Quarterly Listing of Alien Insurers maintained by the International Insurers Department of the NAIC.

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

1. **Annual Statement:** electronic version filed with the NAIC is acceptable: due July 1.
2. **Application:** (Form 08-01241a).
3. **Certificate of Authority or Compliance** (from Domiciliary Regulator showing lines authorized to write): due July 1.
4. **Capital & Surplus:** \$15,000,000.

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

Wet marine and transportation insurance (including cargo) as defined under Alaska Stat. §21.34.900(15)

OTHER COMMENTS OR REQUIREMENTS

1. Alaska's eligibility list is available at <https://www.commerce.alaska.gov/web/Portals/11/Pub/B25-01.pdf>.
Broker may rely on the information contained in the most recent NAIC Quarterly List of Alien Insurers as evidence of an alien insurer's compliance.
2. Workers' compensation insurance may be placed in and written by a nonadmitted insurer **only if all requirements under Alaska Stat. § 21.34.030 are met.**
3. Alaska provides that in case of a health care insurance market crisis, the director will have the discretion to permit using nonadmitted carriers for health care insurance under Alaska Stat. §21.34, but only if all requirements under Alaska Stat. § 21.34.035 are met. This provision does **not** open the way to write health insurance by exception under Alaska Stat. § 21.34, and specifically **may not be used** to secure a lower premium rate for obtaining a competitive advantage.
4. Alaska requires that an alien non-admitted insurer (not listed on the Quarterly Listing of Alien Insurers) that fails to pay the fee or file the financial statement required by Alaska statutes will be removed from the Alaska list of Eligible Surplus Lines Insurers.
5. Per Alaska Stat. § 21.34.100(a), the surplus lines broker shall promptly deliver to the named insured or the producing broker the policy or, if the policy is not then available, a cover note, binder, or other evidence of insurance. The cover note, binder, or other evidence of insurance for the named insured shall be executed

by the surplus lines broker and must contain a summary of all material facts that would regularly be included in the policy, the description and location of the subject of insurance, a general description of the coverages of the insurance, the premium and rate charged and taxes to be collected from the insured, the name and address of the insured, the name of each surplus lines insurer and the percentage of the entire risk assumed by each, the name of the surplus lines broker, and the license number of the surplus lines broker. Prompt delivery means no later than 30 days after the date coverage is bound.

6. The Alaska DOI reporting requirements for all surplus lines transactions involving new and renewal policies (by effective date) and premium bearing endorsements (by invoice date) must be reported on a quarterly basis on the Quarterly Report on or before the following due dates:

Months /// Due Date

January, February, March /// June 1

April, May, June /// September 1

July, August, September /// December 1

October, November, December /// March 1 of following year

Alaska DOI issued Regulatory Order 17-08 regarding the requirements to file and pay through OPTins <https://www.commerce.alaska.gov/web/Portals/11/Pub/Consumers/Orders/Regulatory/2017/R17-08.pdf>.

7. Every evidence of insurance negotiated, placed, or procured by a surplus lines broker must bear the name of the surplus lines broker, which may not be covered, concealed, or obscured by the producing broker, and the following legend in at least 10 point type. Evidence of insurance includes subsequent endorsements related to a policy, both premium and non-premium bearing: **“This is evidence of insurance procured and developed under the Alaska Surplus Lines Law, AS 21.34. It is not covered by the Alaska Insurance Guaranty Association Act, AS 21.80.”**
8. A diligent search of the admitted market must be documented prior to binding with a surplus lines insurer. The documentation must be provided to the surplus lines broker no later than 15 days after binding, unless the broker requires it sooner.
9. A surplus lines insurer is to include with each policy, an Alaska Policyholder Notice. The surplus lines broker is responsible for ensuring the notice is with the policy, even if they include it themselves. The approved form of the Alaska surplus lines policyholder notice required under Alaska Admin. Code tit. 3, § 25.050 is set out below. A surplus lines insurer may submit another format for review and possible approval by the Director.

ALASKA POLICY HOLDER NOTICE 3 AAC 25.050

This policy is issued by a nonadmitted or surplus lines insurer. Insurance may only be purchased from nonadmitted insurers if the full amount, kind, or class of insurance cannot be obtained from insurers who are admitted to do business in the State of Alaska. Your broker or the surplus lines broker has determined that this was true on the date the policy was placed. Before issuing a renewal policy or extending this policy, remarketing is required. To avoid intentional or unintentional extension of coverage in the surplus lines market when an admitted market for that coverage exists, a nonadmitted insurer is prohibited from the automatic renewal or extension of a policy without remarketing by your broker or the surplus lines broker. In order to comply with the Alaska Administrative Code, the following notice is given:

You are hereby notified that, under 3 AAC 25.050, your policy will terminate effective no later than the date and time of its expiration. We reserve the right to cancel this policy sooner than the expiration date by giving you notice of cancellation as required in AS 21.36.220. You may request through your broker that a new policy from the surplus lines broker be concurrent with the effective date of the termination of this policy. You are also notified that a new policy, if issued by us, is subject to rerating, which may result in a premium increase of more than ten percent (10%). As required by 3 AAC 25.050, you are hereby notified that any subsequent policy issued by us may be subject to a ten percent (10%) or more increase in premium. The actual premium will be based upon rates that apply at the time a subsequent policy, if any, is issued and will be made available to you before the effective date of the new policy, or the date subsequent coverage is bound, whichever occurs first.

10. The Alaska independent procurement statute, Alaska Stat. § 21.33.061, requires tax payment to Alaska when Alaska is the home state of the insured. The tax rate is 3.7%.
11. Bulletin 04-14 notifies licensees regarding allowed broker fees and the appointment of insurance producers as brokers. <https://www.commerce.alaska.gov/web/portals/11/pub/bulletins/B04-14.pdf>.
12. Bulletin 14-05 notifies surplus lines licensees and companies of adopted regulatory changes. These changes include, but are not limited to:
 - elimination of requirement for the surplus lines broker to sign each report of a surplus lines transaction; however, the surplus lines broker is required to sign quarterly report affidavits;
 - modifications to diligent search requirements, including that the producing broker must provide the surplus lines broker diligent search documentation within 15 days of binding the insurance contract;
 - removal of requirement that the policyholder's notice be in the binder and cover note but the surplus lines broker continues to be responsible to ensure the notice is part of the policy; and clarification that alien insurers not on the Quarterly Listing of Alien Insurers must pay a fee to be on Alaska's eligibility list.
13. Bulletin 15-10 notifies all licensees, who conduct diligent search with admitted companies, of common errors identified on the documentation provided to surplus lines brokers to be discontinued immediately. <https://www.commerce.alaska.gov/web/portals/11/pub/bulletins/B15-10.pdf>

14. Bulletin 17-06 notifies all Alaska licensed surplus lines brokers of the updated lines of business codes:
<https://www.commerce.alaska.gov/web/Portals/11/pub/Bulletins/Bulletin%20B%2017-06.pdf>.
15. The Alaska DOI issued regulation changes to include several additional definitions:
- Alaska Admin. Code tit. 3, § 25.090(c): In Alaska Stat. § 21.34.080(a)(1), The term “insured” in the broker’s report of surplus lines transaction means the “First Named Insured” for the transaction described in the report.
 - Alaska Admin. Code tit. 3, § 25.900(e): “Surplus lines broker” is updated to mean (A) a firm or agency licensed under Alaska Stat. § 21.27.790; or (B) an individual that is (i) licensed under Alaska Stat. § 21.27.790 and (ii) not employed by a firm or agency licensed under Alaska Stat. § 21.27.790.
 - https://www.commerce.alaska.gov/web/Portals/11/Pub/INS_RA20-02.pdf
16. Alaska’s most recent Placement List is available at:
<https://www.commerce.alaska.gov/web/Portals/11/Pub/R25-01.pdf>.
17. Alaska Admin. Code tit. 3, § 25.100(c) includes rules for which date to use on initial placements of coverage on a quarterly report: https://www.commerce.alaska.gov/web/Portals/11/Pub/INS_RA21-01.pdf.
18. Effective January 2025, the Alaska DOI revised its surplus lines placement list to include “Hotels/Motels – pre-1990” and “Non-owned and Hired Trailer \$100K or more coverage limit”.

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